

Indian Railway Finance Corporation Ltd

Financials | Speciality Finance | Large Cap | <https://irfc.co.in/>

Company Overview

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Financial Snapshot

Market Cap	■2,618,349 Cr	ROE	13.7%	Revenue CAGR	19.1%
P/E	9.81	ROCE	5.7%	PAT CAGR	23.2%
P/B	3.91	Net Margin	24.1%	EPS CAGR	20.1%
EV/EBITDA	16.66	Operating Margin	99.5%	Quality Score	70.00
Dividend Yield	2.8%	Debt / Equity	8.38	Interest Coverage	1.32
Asset Turnover	0.05	EPS	■5.00	Book Value	N/A

Investment Strengths

- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Revenue has grown consistently over five years.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

Investment Risks

- Low ROCE indicates inefficient capital utilization.
- High debt increases financial risk.
- Poor interest coverage raises repayment concerns.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.